Don't Expect Too Much

Lastly, some comments on the longer-term prospects for equities. I'm not talking about what is going to happen to the market over the next quarter or even the next several years. However, I do think investors should have some perspective on what they can expect. The average annualized return on equities over the last 15 years, as measured by the S&P 500, is 14.8%. That's almost 50% above the historical return on stocks on an annualized basis. When you compound this out 10 years, the differential is staggering. Will we see the same kind of returns from stocks over the next 15 years? I wouldn't bet the ranch on it. Sooner or later, this roaring bull market will end, either with a substantial correction or a bear market or preferably, an extended period of much more modest returns.

How should today's investor prepare for this? I would start by adjusting expectations. When making financial planning assumptions, use conservative return figures for equities, and save and invest accordingly. In other words, if you are putting a given amount of dollars into equities and assuming that it will compound at 15% a year over the next 10–20 years, you will likely find your children's college fund or your retirement nest egg more than a little short.

Secondly, you might want to look at alternative investment strategies. Market-neutral disciplines like risk arbitrage, which is capable of delivering low- to mid-double-digit annualized returns regardless of the direction of the broad equities market should be considered. This will be particularly rewarding if what we have characterized as the third great wave of mergers continues as long as we expect it to.

Finally, although one can play many global trends from the relative comfort of the New York Stock Exchange, investors should internationalize their portfolios. Twenty-five years ago, U.S. equities represented 66% of the capitalization of the total global equities market. Today it is 38%. Twenty